Response to Editor

Dear Professor Mueller,

We begin by thanking you for the candid and well-meant advice regarding the timeline of our revision. You are right: a three-year turnaround was far too long, and we should have kept you informed of our progress at regular intervals rather than going silent. The delay was driven almost entirely by the decision to undertake a complete reconstruction of the dataset—a process that proved substantially more time-consuming than we had anticipated—but that context does not excuse the lack of communication. We are genuinely grateful that you honored the original R&R decision despite the circumstances, and we will take your counsel seriously going forward.

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis (R2).** R2 asked for a fuller treatment of the stock market evidence around a greater set of legal events. The examination the referee suggested identified an additional event: the certiorari grant and midterm election of November 1934, around which gold-exposed firms outperformed non-exposed firms by 3.5 percentage points ($t = 3.3$), second only to the Joint Resolution window. The event is now part of the main analysis. The return evidence appears in a dedicated table (Table 1, in the main text) and four event-study figures (Internet Appendix Figures IA.2–IA.5). The significant differentials around the Joint Resolution and the November events support the paper's identification, and the Joint Resolution differential is positive across the entire size spectrum. A new Internet Appendix section examines the lower court events; none of them generated a strong differential in returns between exposed and unexposed firms, consistent with these procedural steps being anticipated.

- **Robustness with the full set of fixed effects (R6).** R6 asked to see the characteristic-control specifications with industry-year fixed effects included. New Internet Appendix Table IA.19 reports all of them. The 1933 effect is essentially unchanged and remains significant; the 1934 effect attenuates and mostly loses significance, without sign reversals. Section 5 now discusses this sensitivity directly and notes that the attenuation arises only when the characteristic controls and the industry-year fixed effects are included together.

- **Limitations of the exposure measure (R6).** R6 asked the paper to be more upfront about the fact that gold exposure is entangled with the debt-versus-preferred composition of a firm's fixed claims. Section 5.5 now closes with an explicit limitations discussion, stating that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends (R6).** R6 noted that the litigation-year coefficients cannot be statistically distinguished from individual pre-treatment estimates such as the 1930 coefficient. Section 5.2 now acknowledges this directly and clarifies that the support for the parallel-trends assumption comes from the pre-treatment coefficients as a group: uniformly small, individually insignificant, and without trend toward the treatment years.

- **Liberty bond discussion (R2).** R2 asked for the appropriate context for the Liberty Bond price increase during the January 1935 arguments. We agree with the referee's interpretation and have adopted it in the text: as gold-denominated government obligations, Liberty Bonds rose in price because investors saw a real chance the government could lose the case. The missing *New York Times* citation has been added.

Corrections identified while rebuilding the replication code. As part of this revision we rebuilt the paper's replication code end to end, so that every table and figure regenerates from the raw data. This exercise surfaced two issues in Table 4 of the previous draft, which we have corrected; neither affects any result the paper relies on.

1. The note to column 5 misdescribed the specification: the column uses an alternative exposure measure that scales gold-clause debt by the firm's total fixed claims (bank debt, bonds, and preferred shares), rather than the baseline $\tilde{d}$ on a restricted sample. This is purely a labeling issue: the column header, the table note, and the corresponding text in Section 5 now describe the specification correctly, and the estimates are unchanged.

2. The “no redemption” sample of column 4 (and of Internet Appendix Table IA.12, column 1) inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935, an artifact of missing-value handling in the original code; the revised sample excludes only the 90 firms that retired their gold-clause debt during the litigation window. The only significance change is that the marginally significant $1928 \times \tilde{d}$ interaction in column 4 loses its 10% star. Table R1, at the end of this document, reports column 4 before and after the correction.

The rebuild surfaced two smaller corrections in the same category.

1. The standard errors in column 7 of Table 4 (the bank-debt placebo) were inadvertently clustered by firm only in the previous draft; they are now two-way clustered by firm and year, like every other column. The coefficients are unchanged; the 1926 and 1928 placebo interactions sharpen from the 10% level to the 5% and 1% levels, respectively, and the litigation-year cells remain insignificant in both versions. Table R2, at the end of this document, reports the column before and after the correction.

2. The firm count printed in the header of Panel C of Table 2 (594) was a typographical error introduced when the table was created; the underlying sample is unchanged (503 firms, with identical observation counts), and regenerating the panel leaves the reported statistics essentially unchanged (a few cells move by 0.01).

None of these corrections affects any result the paper relies on.

Once again, we are grateful for the opportunity to revise our paper for possible publication at the Review of Financial Studies. We believe the comments and suggestions of the entire review team have substantially improved the manuscript. We look forward to hearing back from you.

Sincerely,

Joao Gomes, Mete Kilic, and Sebastien Plante

REFERENCES

Table R1: Table 4, column 4 (no-redemption sample), before and after the correction

	Column 4 (No redemption)	
	Round 1	Revised
Q	0.085***	0.086***
	(0.015)	(0.014)
$\tilde{d}$	-0.097**	-0.094**
	(0.033)	(0.034)
1926 × $\tilde{d}$	0.057**	0.061**
	(0.021)	(0.022)
1927 × $\tilde{d}$	0.026	0.010
	(0.028)	(0.030)
1928 × $\tilde{d}$	0.061*	0.039
	(0.030)	(0.031)
1929 × $\tilde{d}$	0.046	0.040
	(0.029)	(0.029)
1930 × $\tilde{d}$	-0.018	-0.024
	(0.022)	(0.022)
1931 × $\tilde{d}$	0.004	0.004
	(0.014)	(0.014)
1933 × $\tilde{d}$	-0.068***	-0.064***
	(0.013)	(0.013)
1934 × $\tilde{d}$	-0.032***	-0.036***
	(0.011)	(0.010)
1935 × $\tilde{d}$	0.025**	0.027**
	(0.010)	(0.010)
1936 × $\tilde{d}$	0.001	0.006
	(0.012)	(0.011)
1937 × $\tilde{d}$	0.015	0.005
	(0.016)	(0.016)
1938 × $\tilde{d}$	0.000	0.009
	(0.019)	(0.019)
1939 × $\tilde{d}$	-0.021	-0.025
	(0.015)	(0.016)
1940 × $\tilde{d}$	-0.005	-0.013
	(0.016)	(0.016)
R^2	0.221	0.224
Observations	5,572	5,918

Note. The Round 1 sample inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935; the revised sample excludes only the 90 firms that retired their gold-clause debt during the litigation window. Standard errors in parentheses are two-way clustered by firm and year. $^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.

Table R2: Table 4, column 7 (bank-debt placebo), before and after the clustering correction

	Round 1	Revised
Q	0.095***	0.095***
	(0.014)	(0.017)
$\tilde{d}$	-0.007	-0.007
	(0.110)	(0.093)
$1926 \times \tilde{d}$	-0.335*	-0.335**
	(0.177)	(0.129)
$1927 \times \tilde{d}$	-0.210	-0.210
	(0.157)	(0.124)
$1928 \times \tilde{d}$	-0.144*	-0.144***
	(0.078)	(0.038)
$1929 \times \tilde{d}$	0.252	0.252
	(0.321)	(0.147)
$1930 \times \tilde{d}$	-0.097	-0.097
	(0.098)	(0.081)
$1931 \times \tilde{d}$	-0.045	-0.045
	(0.110)	(0.103)
$1933 \times \tilde{d}$	0.057	0.057
	(0.093)	(0.061)
$1934 \times \tilde{d}$	0.060	0.060
	(0.084)	(0.038)
$1935 \times \tilde{d}$	-0.026	-0.026
	(0.056)	(0.026)
$1936 \times \tilde{d}$	-0.013	-0.013
	(0.062)	(0.032)
$1937 \times \tilde{d}$	-0.038	-0.038
	(0.067)	(0.041)
$1938 \times \tilde{d}$	0.025	0.025
	(0.064)	(0.045)
$1939 \times \tilde{d}$	-0.056	-0.056
	(0.075)	(0.052)
$1940 \times \tilde{d}$	0.032	0.032
	(0.076)	(0.057)
R^2	0.239	0.239
Observations	7,074	7,074

Note. Coefficients are identical in the two versions. The Round 1 standard errors were inadvertently clustered by firm only; the Revised standard errors are two-way clustered by firm and year, like every other column of Table 4. $^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.